

Bureaucracies

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FGV EPGE

March 1st, 2024

This class

- Bureaucracies and the principal-agent model.
- Ideology and Performance in Public Organizations (Spenkuch, Teso, and Xu 2023).
- Bureaucratic Nepotism (Riaño 2022).
- Colonnelli et. al. (2020). Patronage and selection in public sector organizations.
- Toral (2023). How Patronage Delivers: Political Appointments, Bureaucratic Accountability, and Service Delivery in Brazil
- Political Dynasties (Dal Bo, Dal Bo, and Snyder 2008 and George 2020).

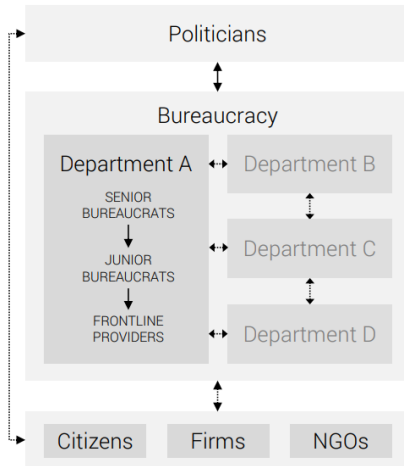
Bureaucracies

- **Etymology:** from *bureau* (French, desk or office) and *kratos* (Greek, rule or political power).
- **Unelected public officials:**
 - Do political appointees count?
 - Do lower-level employees count?
- **Review articles:**
 - **Besley, Burges, Khan and Xu (2022).**
 - Pepinsky, Pierskalla and Sacks (2017).

Max Weber

- “Ideal” form of public administration:
 - Hierarchical organization.
 - Chain of command.
 - Division of labor and expertise.
 - Security of tenure.
 - Mission-motivated.
 - Rule-driven operation.
 - Merit-based selection and promotion.
- Politicians come and go, bureaucrats stay.

Stylized bureaucracy



Brief History

- First bureaucratic functions: collecting taxes, enforcing laws.
- China: a professional cadre of *mandarins*, selected through competitive exams since 500 AD.
- England: After 1688, highly meritocratic and effective tax collection bureaucracy, to meet the needs of the Navy.
- Reforms in the 1800s (England 1854, USA 1883):
 - Competitive exams.
 - Fair and transparent rules of promotion.
 - Security of tenure.

Weberian Facts

- Quality of bureaucracy from V-Dem project.
- **Meritocratic recruitment:**
 - If appointment decisions are based on skills and merit, as opposed to personal and political connections.
- **Rigorous and impartial administration:**
 - Whether public officials generally abide by the law and treat all cases alike, avoiding arbitrariness and bias.

3.9.0.6 Criteria for appointment decisions in the state administration (C) (v2stcritrecadm)

Project Manager(s): Agnes Cornell

Additional versions: *_osp, *_ord, *_codelow, *_codehigh, *_sd, *_mean, *_nr

Question: To what extent are appointment decisions in the state administration based on personal and political connections, as opposed to skills and merit?

Clarification: Appointment decisions include hiring, firing and promotion in the state administration. Note that the question refers to the typical *de facto* (rather than *de jure*) situation obtaining in the state administration, excluding the armed forces. If there are large differences between different branches of the state administration or between top and lower level state administrators please try to consider the average when answering the question.

Responses:

- 0: All appointment decisions in the state administration are based on personal or political connections. None are based on skills and merit.
- 1: Most appointment decisions in the state administration are based on personal or political connections. Only a few are based on skills and merit.
- 2: Approximately half of the appointment decisions in the state administration are based on personal or political connections. Approximately half are based on skills and merit.
- 3: Only few of the appointment decisions in the state administration are based on personal or political connections. Most appointment decisions are based on skills and merit.
- 4: None of the appointment decisions in the state administration are based on personal or political connections. All are based on skills and merit.

3.8.2.2 Rigorous and impartial public administration (C) (v2clrspct)

Project Manager(s): Svend-Erik Skaaning

Additional versions: *_osp, *_ord, *_codelow, *_codehigh, *_sd, *_mean, *_nr

Question: Are public officials rigorous and impartial in the performance of their duties?

Clarification: This question focuses on the extent to which public officials generally abide by the law and treat like cases alike, or conversely, the extent to which public administration is characterized by arbitrariness and biases (*i.e.*, nepotism, cronyism, or discrimination).

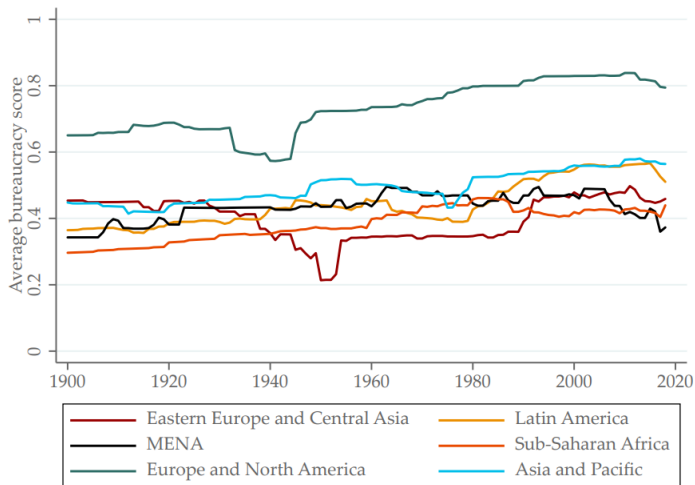
The question covers the public officials that handle the cases of ordinary people. If no functioning public administration exists, the lowest score (0) applies.

Responses:

- 0: The law is not respected by public officials. Arbitrary or biased administration of the law is rampant.
- 1: The law is weakly respected by public officials. Arbitrary or biased administration of the law is widespread.
- 2: The law is modestly respected by public officials. Arbitrary or biased administration of the law is moderate.
- 3: The law is mostly respected by public officials. Arbitrary or biased administration of the law is limited.
- 4: The law is generally fully respected by the public officials. Arbitrary or biased administration of the law is very limited.

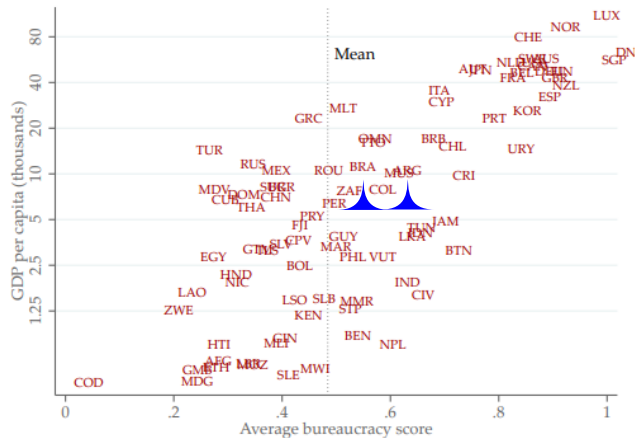
Weberian Facts

- **Fact 1:** Persistence and clustering of bureaucratic quality.



Weberian Facts

- **Fact 2:** Development and bureaucratic quality are positively correlated.



Weberian Facts

- **Fact 3:** Improvements in bureaucratic capacity are positively correlated with economic growth.

Table 1: Bureaucracy score and economic growth

	Outcome: Log of GDP per capita				
	(1)	(2)	(3)	(4)	(5)
Lag (Meritocratic recruitment)	0.025** (0.012)		0.023* (0.012)		
Lag (Rigorous and independent administration)		0.013 (0.011)	0.004 (0.012)		
Lag (Avg. Bureaucracy score)				0.024* (0.013)	0.041** (0.016)
Observations	1,602	1,634	1,602	1,634	1,634
Lag(Log GDP per capita)	✓	✓	✓	✓	✓
Country FE	✓	✓	✓	✓	✓
Year FE	✓	✓	✓	✓	✓
Country FE × Linear trend					✓

Table 1: All regressions include country and year fixed effects. The independent variables are standardized to have mean zero and a standard deviation of one. Standard errors are clustered at the country level. Sample is collapsed to five-year means and control for the lagged (log) GDP per capita.

Principal-Agent Problem

- The **principal**:
 - Designs the **incentive** structure.
 - Hires, promotes, transfers, and fires the **agent**.
 - Who is the principal?
- The **agent**
 - Has a given **type**: ability, motivations.
 - Makes a decision on the level of **effort** given their type.
- This model captures incentives, insurance, effort, corruption, and selection.

Principal-Agent Problem

- **Performance** of a bureaucrat i at time t and serving in the unit $j = J(i, t)$:
- $y_{it} = g(\theta_i, e_{it}, v_{J(i,t)})$
- The organization chooses **incentives** $I(y_{it})$.
- **Effort** e_{it} is endogenous and not observable.
- Bureaucrat utility = $U(I(y_{it}), e_{it}, \theta_i)$
- Utility is increasing in $I(y_{it})$ and decreasing in e .
- This model captures incentives, insurance, effort, corruption, and selection.

Principal-Agent Problem: Incentives

- $I(y_{it})$ includes **carrots**: promotions, bonus, social recognition. And **sticks**: fines, reprimands, demotions, firing.
- Explicit incentives are rarely used in public organizations.
- **Challenge**: Difficulty measuring performance:
 - Senior bureaucrats (making decisions) are harder to evaluate.
 - Non-market outputs are hard to quantify.
 - Teams: performance cannot be disentangled across agents.

Principal-Agent Problem: Incentives

- The literature has focused on **specialized agents**, whose performance can be more easily evaluated (Lazear 2000: installation of windshields)
- Many papers on teachers, health care workers, tax collectors, procurement officers, and judges (see survey).
- For **senior agents**, aggregate outcomes:
 - GDP growth, revenue, etc.

Principal-Agent Problem: Incentives

- **Challenge:** Multi-tasking.
 - What happens when some tasks are more easily measured?
 - Example: Can we pay teachers conditionally on students' grades?
- **Challenge:** Implementation.
 - Tournament structures and non-linearities.
 - Khan, Khwaja, and Olken (2019): tax collectors compete for transfers.
 - Contract on inputs or outputs?
 - Teacher attendance or student grades?

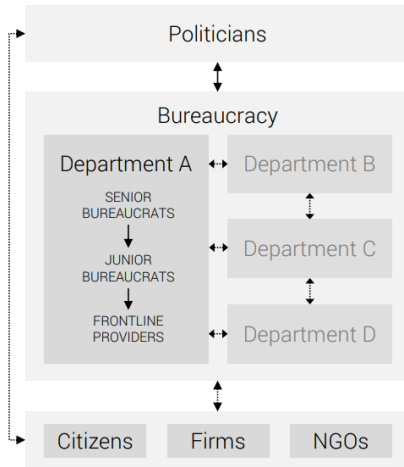
Principal-Agent Problem: Selection

- How to get the best bureaucrats, best **type** θ_i (most talented, mission motivated, least corrupt, etc.)
- How to attract the right talent?
 - Trade-off between pecuniary incentives and getting mission-driven people (Dal Bo, Finan, and Rossi 2013).
 - Rules vs discretion in the hiring (and firing) process.
- Two papers on selection later today.
- Not covered:
 - Muñoz and Prem (2021): principals in Chile.
 - Dahis et. al. (2022): admission exams and state judges in Brazil.

Principal-Agent Problem: Matching and task assignment

- Some papers exploit individuals moving across organizations to estimate their value added.
- For example, Muñoz and Prem (2021) with principals in Chile.
- **Match value**, captured by $v_{J(i,t)}$: getting the right people to the right department.
- Rotation vs. specialization.
- Tension between embeddedness and autonomy.
 - Outsiders may be less corrupt and less biased.
 - Locals may have more information and may be more accountable to users.

Stylized bureaucracy



Principal-Agent Problem: System level

- N bureaucrats in an organization.
- $y_i = g(\theta_1, \dots, \theta_N, e_1, \dots, e_N, v_{J(i)})$
- Are efforts complements?
- $\partial^2 g / \partial e_i \partial e_j > 0$?
- Are types complements?
- $\partial^2 g / \partial \theta_i \partial \theta_j > 0$?

Areas for further research

1. **Measurement:** It has been hard to measure bureaucrats' output. Potential to link micro-level actions to macro-level outcomes.
2. **Evaluation of system-wide reforms.** (For example, Riaño 2022)
3. **Relationship between politicians and bureaucrats.** (For example, Spenkuch, Teso, and Xu 2022).
4. Relationship between bureaucrats and the private sector.
5. Bureaucratic ability to innovate/adapt (for example, with COVID-19).

Ideology and Performance in Public Organizations

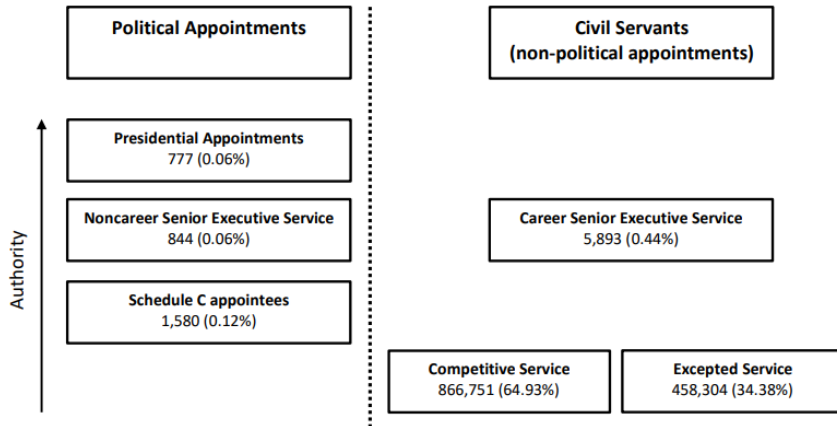
Spenkuch, Teso, and Xu

The Role of Politics

- Ideology and Performance in Public Organizations (Spenkuch, Teso, and Xu 2023).
- How does **ideological alignment** between politicians and bureaucrats affects turnover and performance?
- Data:
 - Personnel records of the USA federal bureaucracy (1997-2019).
 - Voter registration data.
- Results:
 - Significant partisan cycles and turnover in political appointees.
 - No cycles in the civil service.
 - Procurement contracts overseen by misaligned officers have greater cost overruns and delays.
 - Morale effect: misaligned bureaucrats are less motivated.

Ideological Alignment

Figure 1: Categorization of positions in the U.S. federal bureaucracy



Ideological Alignment

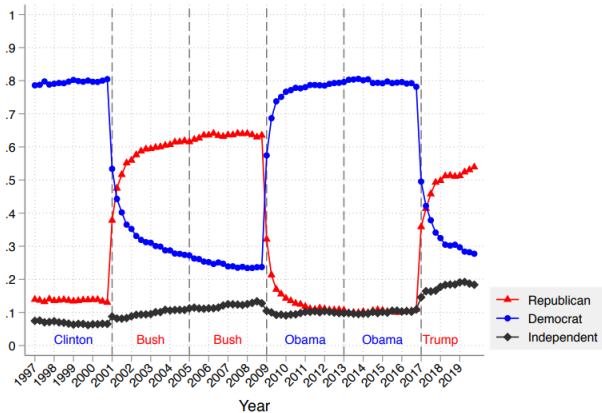
Table 1: Differences in observables between matched and unmatched bureaucrats

	(1)	(2)	(3)	(4)	(5)	(6)
	Matched		Unmatched		Matched – Unmatched	
	Mean	Standard Deviation	Mean	Standard Deviation	Standardized Difference	<i>p</i> -value Equivalence test
Age less than 30	0.423	0.494	0.454	0.498	-0.061	0.000
Age 30-40	0.259	0.438	0.250	0.433	0.020	0.000
Age 40-50	0.173	0.378	0.157	0.364	0.041	0.000
Age 50-60	0.110	0.313	0.099	0.299	0.035	0.000
Age more than 60	0.035	0.185	0.040	0.196	-0.025	0.000
Highest education: college	0.232	0.422	0.218	0.413	0.035	0.000
Highest education: more than college	0.266	0.442	0.253	0.434	0.030	0.000
Quarters in federal bureaucracy	43.285	44.104	27.731	38.311	0.362	1.000
Annual pay	40074.176	34186.187	43173.673	36916.879	-0.088	0.000
Employed in D.C.	0.124	0.330	0.128	0.334	-0.012	0.000
Observations	1,985,726		955,188		2,940,914	

Notes: Descriptive statistics (mean and standard deviation) of individuals for which party affiliation is available (matched, columns 1-2) and for those for which party affiliation is unavailable (unmatched, columns 3-4). Column 5 reports the difference in means, divided by the standard deviation in the pooled sample of matched and unmatched. Column 6 reports the *p*-value from a tests for the equivalence of means using a two one-sided t tests approach; the reported *p*-value is the largest of the two *p*-values from two one-sided t-tests, under the null hypothesis that the difference is larger than 0.1 standard deviation, or smaller than -0.1 standard deviation, respectively. Sample includes all civil servants with non-redacted names serving between 1997-2019.

Ideological Alignment

Figure 2: Partisan affiliation of political appointees



Ideological Alignment

Table 2: Political cycles among political appointees and civil servants

	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
	Employee is Democrat				Employee is Republican			
<i>Panel A: Political Appointees</i>								
Sample:	All Pol. Appointees	Presidential Appointees	Noncareer SES	Schedule C Appointees	All Pol. Appointees	Presidential Appointees	Noncareer SES	Schedule C Appointees
President Democrat	0.494*** (0.008)	0.251*** (0.016)	0.591*** (0.015)	0.546*** (0.011)				
President Republican					0.458*** (0.008)	0.237*** (0.016)	0.550*** (0.015)	0.505*** (0.011)
Observations	139,114	32,245	36,734	70,164	139,114	32,245	36,734	70,164
Effect size	+171%	+62%	+235%	+213%	+371%	+109%	+571%	+537%
<i>Panel B: Civil Servants</i>								
Sample:	All Civil Servants	Competitive Service	Career SES	Excepted Service	All Civil Servants	Competitive Service	Career SES	Excepted Service
President Democrat	-0.002*** (0.000)	-0.003*** (0.000)	0.002 (0.004)	0.001* (0.000)				
President Republican					0.000** (0.000)	-0.000 (0.000)	0.002 (0.003)	0.003*** (0.000)
Observations	58,882,915	38,041,926	291,662	20,665,132	58,882,915	38,041,926	291,662	20,665,132
Effect size	-0.4%	-0.5%	+0.4%	+0.2%	+0.1%	-0.1%	+0.7%	+0.8%
Bureau FEs	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes

Ideological Alignment

Table 3: Political alignment and career progression of civil servants

	(1)	(2)	(3)	(4)	(5)	(6)
	Log total pay		Transferred away from D.C.			
Politically aligned	0.0002** (0.0001)	-0.0008*** (0.0001)	0.0002** (0.0001)	0.0001 (0.0001)	0.0000 (0.0005)	-0.0002 (0.0005)
Observations	57,445,624	57,445,176	6,169,574	6,168,189	146,434	142,893
Sample	All	All	Non-SES	Non-SES	SES	SES
Individual FEs	Yes	Yes	Yes	Yes	Yes	Yes
Year-Quarter FEs	Yes		Yes		Yes	
Year-Quarter-Bureau FEs		Yes		Yes		Yes

Ideological Alignment: Performance

- Dataset of **procurement contracts**
- $\text{cost overrun}_j = \frac{\text{actual cost}_j - \text{initial cost}_j}{\text{initial cost}_j}$
- delay_j
- $y_j = \beta \times \text{Politically Aligned}_{it} + \theta_i + \tau_t + \epsilon_j$
- Officer and month fixed effects.
- Presidential transitions create shocks that identify β .

Ideological Alignment: Performance

Table 4: Political alignment reduces cost overrun

	(1)	(2)	(3)	(4)	(5)	(6)
<i>Panel A: Relative cost overrun</i>						
Mean of dep. var	0.186	0.186	0.186	0.186	0.186	0.186
Politically aligned	-0.010** (0.004)	-0.013*** (0.004)	-0.011*** (0.004)			
Share politically aligned				-0.014*** (0.004)	-0.015*** (0.004)	-0.013*** (0.004)
<i>Panel B: Any cost overrun</i>						
Mean of dep. var	0.235	0.235	0.235	0.235	0.235	0.235
Politically aligned	-0.010*** (0.003)	-0.012*** (0.003)	-0.010*** (0.003)			
Share politically aligned				-0.010*** (0.003)	-0.012*** (0.003)	-0.011*** (0.003)
Year $\times$ Month FEs	Yes	Yes	Yes	Yes	Yes	Yes
Individual FEs	Yes	Yes	Yes	Yes	Yes	Yes
Controls		Yes	Yes		Yes	Yes
Department $\times$ Year FEs			Yes			Yes
Observations	1,079,923	1,079,923	1,079,923	1,079,923	1,079,923	1,079,923

Ideological Alignment: Performance

Table 5: Political alignment and cost overrun, by contract complexity and transition

	(1)	(2)	(3)	(4)	(5)	(6)
			Relative cost overrun			
Mean of dep. var	0.116	0.282	0.0797	0.290	0.181	0.197
<i>Panel A: Political alignment at time of award</i>						
Politically aligned	-0.002 (0.004)	-0.019*** (0.005)	-0.007* (0.003)	-0.013** (0.006)	-0.010** (0.004)	-0.012** (0.005)
<i>Panel B: Share of contract duration politically aligned</i>						
Share politically aligned	-0.003 (0.004)	-0.022*** (0.005)	-0.008** (0.004)	-0.016** (0.007)	-0.014*** (0.004)	-0.016*** (0.005)
Year $\times$ Month FEs	Yes	Yes	Yes	Yes	Yes	Yes
Individual FEs	Yes	Yes	Yes	Yes	Yes	Yes
Controls	Yes	Yes	Yes	Yes	Yes	Yes
Department $\times$ Year FEs	Yes	Yes	Yes	Yes	Yes	Yes
Sample	\$25k-	\$25k+	SD(Residual overrun)		Bush- Obama	Obama- Trump
			Low	High		
Observations	626,651	450,664	536,986	540,183	926,085	873,841

Ideological Alignment: Performance

Table 6: Political alignment and other procurement outcomes

	(1)	(2)	(3)	(4)	(5)
	Relative delays		Modifications		Contract
			Any	IHS #	terminated
Mean of dep. var	0.424	0.397	0.486	0.714	0.413
<i>Panel A: Political alignment at time of award</i>					
Politically aligned	-0.003 (0.006)	-0.018*** (0.006)	-0.009** (0.004)	-0.018*** (0.007)	-0.002 (0.033)
<i>Panel B: Share of contract duration politically aligned</i>					
Share politically aligned	-0.005 (0.007)	-0.022*** (0.007)	-0.009** (0.004)	-0.019*** (0.007)	0.005 (0.033)
Year $\times$ Month FEs	Yes	Yes	Yes	Yes	Yes
Individual FEs	Yes	Yes	Yes	Yes	Yes
Controls	Yes	Yes	Yes	Yes	Yes
Sample	Full	High duration	Full	Full	Full
Department $\times$ Year FEs	Yes	Yes	Yes	Yes	Yes
Observations	1,074,675	536,661	1,074,675	1,074,675	1,074,675

Ideological Alignment: Task Assignment?

Table 7: Task assignment does not vary by political alignment

	(1)	(2)	(3)	(4)	(5)
	Number	<u>Expected</u>		<u>Predicted</u>	
	contracts	Contract size	Duration	Overrun	Delay
Mean of dep. var	3.784	9.833	4.707	0.186	0.438
Politically aligned	-0.065	0.008	0.002	-0.000	-0.000
	(0.150)	(0.020)	(0.016)	(0.001)	(0.002)
Year $\times$ Quarter FEs	Yes	Yes	Yes	Yes	Yes
Individual FEs	Yes	Yes	Yes	Yes	Yes
Observations	284,528	1,079,923	1,079,923	1,079,923	1,079,923

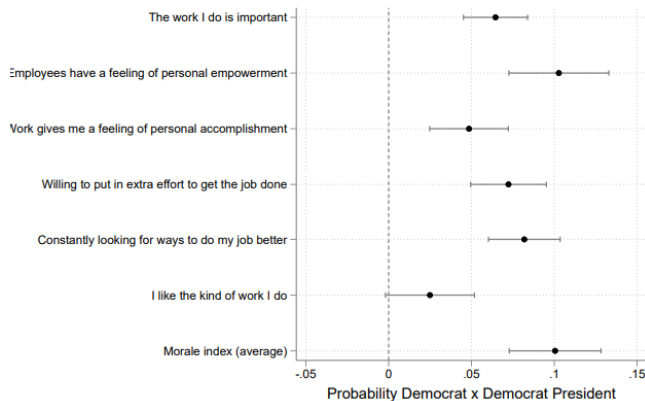
Ideological Alignment: Promotions?

Table B12: Promotion incentives do not vary by political alignment

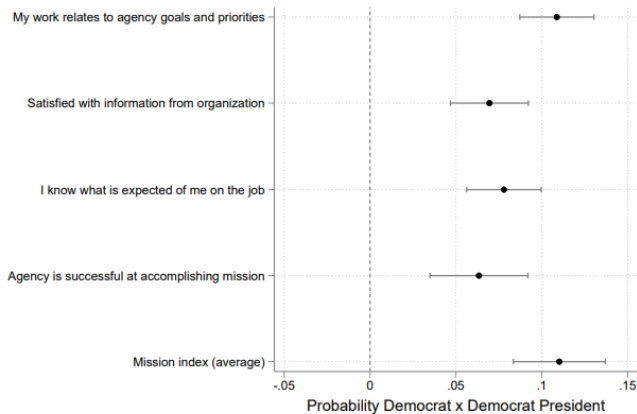
	(1)	(2)	(3)
	Promoted	Demoted	Exit
Mean of dep. var	2.566	0.375	4.629
Current political alignment	0.013 (0.209)	0.134 (0.085)	0.176 (0.342)
Average relative overruns	-0.103 (0.334)	-0.157* (0.092)	-0.097 (0.413)
Average relative delays	-0.299 (0.325)	0.009 (0.148)	0.404 (0.388)
Current political alignment $\times$ Avg. relative overruns	-0.150 (0.350)	-0.097 (0.114)	-0.292 (0.441)
Current political alignment $\times$ Avg. relative delays	0.156 (0.344)	-0.066 (0.132)	0.460 (0.460)
Year $\times$ Month FEs	Yes	Yes	Yes
Individual FEs	Yes	Yes	Yes
Department $\times$ Year FEs	Yes	Yes	Yes
Party $\times$ Avg. cost overrun & delay	Yes	Yes	Yes
Observations	34,691	34,691	34,691

Ideological Alignment: Morale

Figure 5: Morale and mission increase with political alignment



Ideological Alignment: Morale



(b) Measures of identification with mission

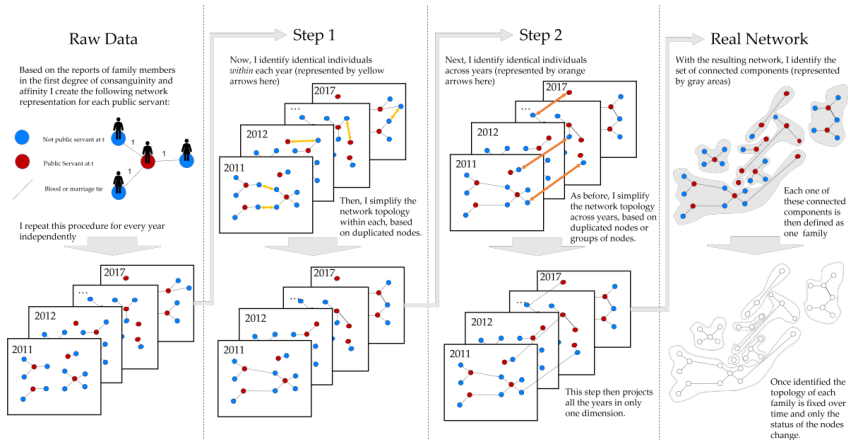
Bureacratic Nepotism

Riaño

Bureaucratic Nepotism

- **Riaño (2022):** Uses a massive administrative dataset with all Colombian civil servants, and reconstructs family networks.
- Provides evidence on the pervasiveness of close family connections and shows its negative relationship with performance.
- Family connections to managers distort the allocation and compensation of workers at lower levels of the hierarchy.
- Evaluates anti-nepotism legislation.

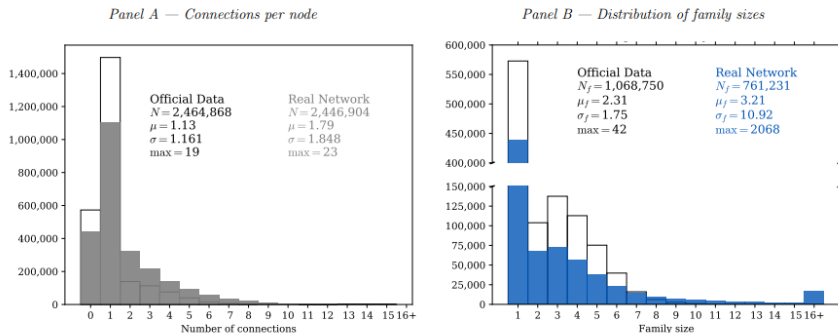
Bureacratic Nepotism



Notes: This figure represents a schematic diagram with the steps followed to convert the reports of family ties to the ultimate network topologies of the families used in the empirical strategy. The number of connections recovered in each step are presented in Table 1.

Bureacratic Nepotism

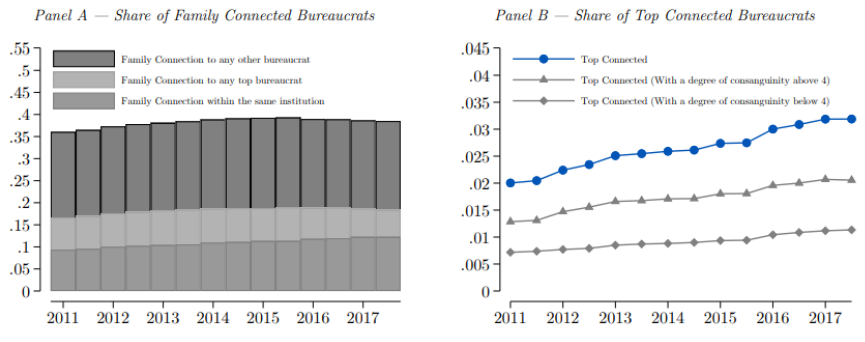
Figure 2: Distribution of family connections and family sizes before and after the second step of the family network reconstruction



Notes: Panel A displays the distribution and summary statistics of the number of connections per node within families using the raw official data (hollow histogram) and after the reconstruction of the real family network (gray histogram). Panel B displays the distribution and summary statistics of the family sizes (number of members per family) using the raw official data (hollow histogram) and after the reconstruction of the family network (blue histogram).

Bureaucratic Nepotism

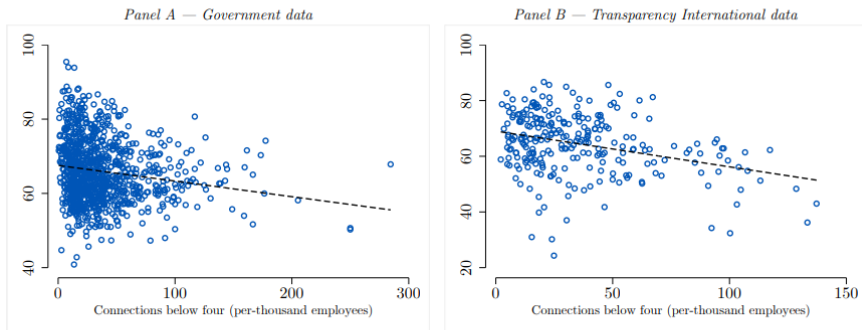
Figure 3: Shares of family connected bureaucrats within the public administration



Notes: Panel A presents the share of bureaucrats with family connections to any other bureaucrat, to a top bureaucrat (i.e., manager or advisor), and to any other bureaucrat within the same institution. Panel B presents the share of Top Connected bureaucrats, i.e., the share of bureaucrats with a family connection to a manager or advisor within the same agency they work in. It differentiates the share depending on whether the connections are above or below four degrees of consanguinity.

Bureaucratic Nepotism

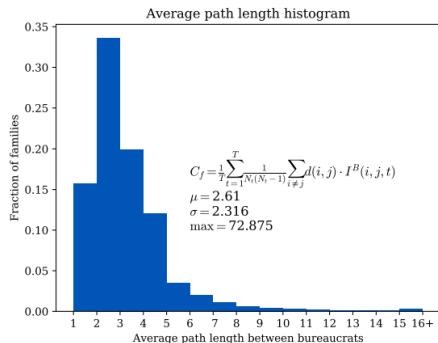
Figure 4: Close family ties and agency performance



Notes: This figure presents the scatter plot and linear fit between the number of family connections below four degrees of consanguinity and the overall performance index of public sector agencies in 2016 according to government data (Panel A) and the independent assessment from Transparency International (Panel B). The corresponding regressions with further controls are reported in Table 2.

Bureacratic Nepotism

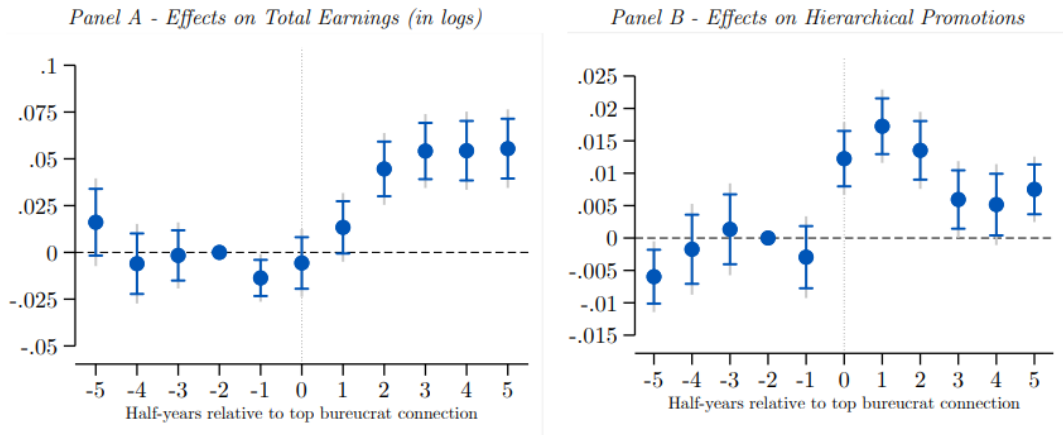
Figure 5: Average degree of consanguinity between bureaucrats across families



Notes: This figure displays the distribution and summary statistics across families of the average path length (in terms of degrees of consanguinity) between family members working in the public administration at the same time. The average path length for each family C_f is computed using the formula displayed in the figure. $I^B(i, j, t)$ is an indicator variable equal to one if individuals i and j from family f are working in the public administration at time t ; $d(i, j)$ is the degree of separation between them in terms of consanguinity degrees, and N_t is the total number of bureaucrats from family f at t .

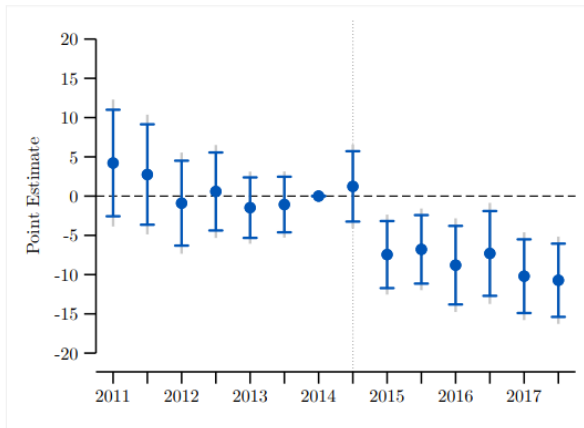
Bureacratic Nepotism

Figure 6: Effects of having a family connection to a public sector manager or advisor



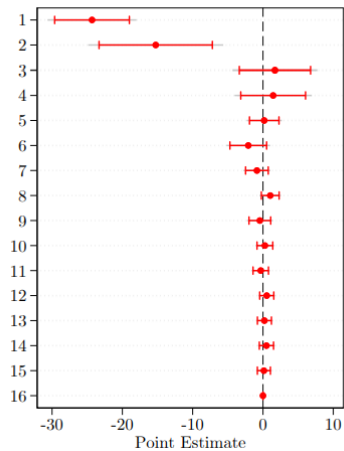
Bureacratic Nepotism

Figure 8: Effects of the 2015 anti-nepotism reform on illegal connections



Bureacratic Nepotism

Change in family connections post reform (β_ϕ)



Bureacratic Nepotism

- Things to consider:
 - Rotation in the principal as a source of exogenous variation.
 - Use of a large administrative dataset.
- An interesting paper about dynasties: Like father, like son? The economic impacts of political dynasties (George 2022).

Patronage and Selection in Public Sector Organizations

Colonelli, Prem, and Teso

Patronage and Selection in Public Sector Organizations[†]

By EMANUELE COLONNELLI, MOUNU PREM, AND EDOARDO TESO*

In all modern bureaucracies, politicians retain some discretion in public employment decisions, which may lead to frictions in the selection process if political connections substitute for individual competence. Relying on detailed matched employer-employee data on the universe of public employees in Brazil over 1997–2014, and on a regression discontinuity design in close electoral races, we establish three main findings. First, political connections are a key and quantitatively large determinant of employment in public organizations, for both bureaucrats and frontline providers. Second, patronage is an important mechanism behind this result. Third, political considerations lead to the selection of less competent individuals. (JEL D72, D73, J45, O17)

Patronage and Elections

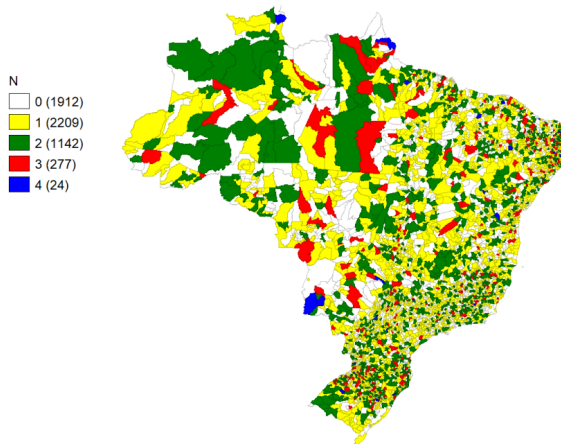


FIGURE A1. Municipalities with Close Elections

Patronage and Elections

TABLE 1—DESCRIPTIVE STATISTICS ON LABOR MARKET OUTCOMES

Candidates (694,273 observations)				Donors (701,954 observations)			Universe of workers (87,528,336 observations)		
<i>Panel A. Employment conditional on being in RAIS</i>									
Ever employed in	Share			Share			Share		
Public sector	0.686			0.519			0.186		
Private sector	0.621			0.755			0.915		
<i>Panel B. Earnings conditional on employment</i>									
Annual earnings	Mean	Median	SD	Mean	Median	SD	Mean	Median	SD
Public sector	12,123	7,548	117,475	17,300	10,088	41,390	13,659	7,678	62,697
Private sector	7,775	4,620	29,739	10,551	4,807	70,710	7,070	4,128	61,299
<i>Panel C. Hierarchy in the public sector</i>									
Employed as	Share			Share			Share		
Bureaucrat: manager	0.158			0.178			0.082		
Bureaucrat: lower level	0.240			0.268			0.216		
Front-service: high skills	0.370			0.409			0.439		
Front-service: low skills	0.231			0.145			0.263		

Note: The table provides a comparison of the labor market outcomes of political supporters and of the universe of other workers in RAIS during the period 1997–2014.

Patronage and Elections

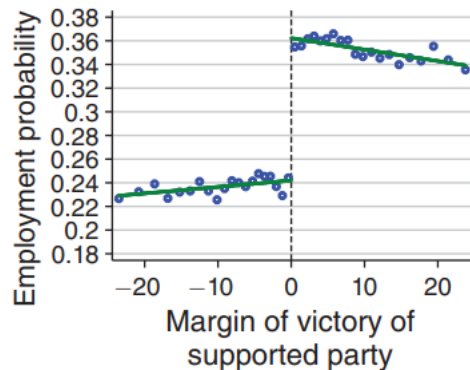
TABLE 2—EFFECT OF SUPPORTING THE WINNING PARTY ON PUBLIC EMPLOYMENT PROBABILITY AND TOTAL EARNINGS

Dependent variable: Group of supporters:	Employed public			Total earnings		
	All (1)	Candidates (2)	Donors (3)	All (4)	Candidates (5)	Donors (6)
Mayor	0.105 (0.005)	0.124 (0.005)	0.067 (0.009)	1,077.973 (118.236)	1,281.960 (82.703)	533.717 (252.498)
Observations	1,447,538	867,888	550,832	1,447,538	867,888	550,832
Mean D.V. runner-up	0.225	0.241	0.199	4,322	3,749	5,262
Supporters	418,146	233,238	177,590	418,146	233,238	177,590
Elections	5,419	5,413	3,162	5,419	5,413	3,162

Notes: The table presents the estimated β from equation (1), and the dependent variable is an indicator for employment in the public sector (columns 1–3) or total earnings (columns 4–6). Results in columns 1 and 4 are estimated on the sample of all supporters. Results in columns 2 and 5 are estimated on the sample of candidates to the local council, and results in columns 3 and 6 are estimated on the sample of donors. The sample is restricted to supporters of the winning party or of the runner-up in a close election, using a 5 percentage point margin of victory to define an election as close. *Mean D.V. runner-up* shows the average of the dependent variable for the supporters of the runner-up in the post-election period. Standard errors are shown in parentheses and are double clustered at the supporter and election level.

Patronage and Elections

Panel C. Candidates: discontinuity



Panel F. Donors: discontinuity

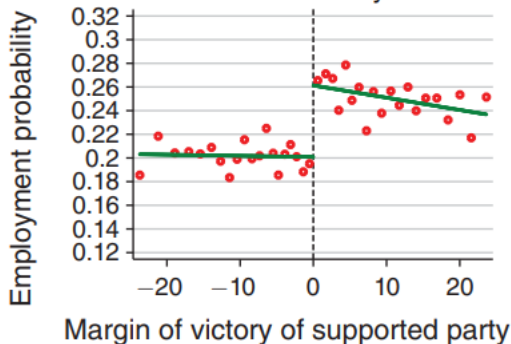
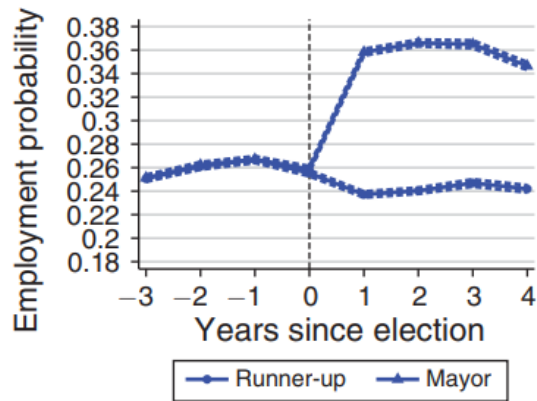


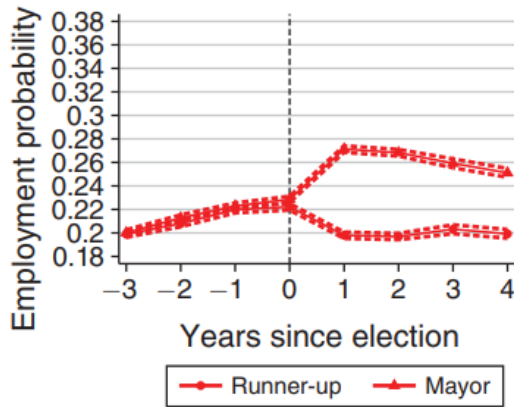
FIGURE 1. EFFECT OF SUPPORTING THE WINNING PARTY ON PUBLIC EMPLOYMENT PROBABILITY

Patronage and Elections

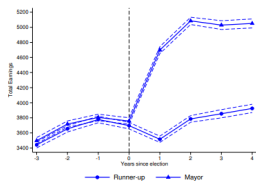
Panel A. Candidates: raw data



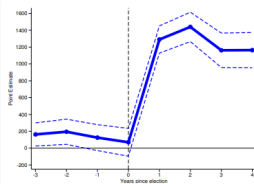
Panel D. Donors: raw data



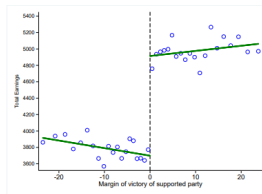
Patronage and Elections



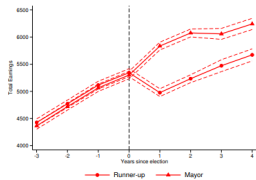
A. Candidates: Raw Data



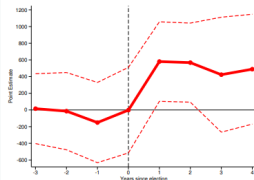
B. Candidates: RDD Estimates



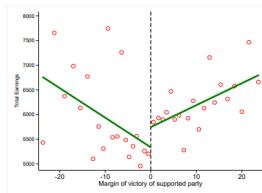
C. Candidates: Discontinuity



D. Donors: Raw Data



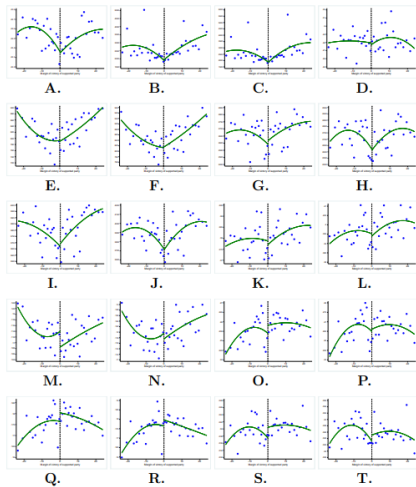
E. Donors: RDD Estimates



F. Donors: Discontinuity

FIGURE A6. Effect of Supporting the Winning Party on Total Earnings

Patronage and Elections



Patronage and Elections

FIGURE A2. Smoothness of Covariates at the Cutoff – Candidates (Part 1)

Notes: The figure shows graphical evidence for the smoothness of candidates' covariates in the pre-election period. Panel A: Age. Panel B: Contributions Received. Panel C: Contributions Spent. Panel D: Fed. Government Party. Panel E: Earnings Private $t=0$. Panel F: Earnings Private $t=-1$. Panel g: Earnings Public $t=0$. Panel H: Earnings Public $t=-1$. Panel I: Earnings Total $t=0$. Panel J: Earnings Total $t=-1$. Panel K: Employed Any $t=0$. Panel L: Employed Any $t=-1$. Panel M: Employed Private $t=0$. Panel N: Employed Private $t=-1$. Panel O: Employed Public $t=0$. Panel P: Employed Public $t=-1$. Panel Q: Employed Public Concurso $t=0$. Panel R: Employed Public Concurso $t=-1$. Panel S: Employed Bureaucrat - Manager $t=0$. Panel T: Employed Bureaucrat - Manager $t=-1$.

Patronage and Elections

TABLE 3—EFFECT OF SUPPORTING THE WINNING PARTY ACROSS PUBLIC SECTOR OCCUPATIONS

Dependent variable is employment as:	Bureaucrat manager (1)	Bureaucrat lower level (2)	Frontline high skills (3)	Frontline low skills (4)
<i>Panel A. Type of occupation</i>				
Mayor	0.053 (0.003)	0.031 (0.003)	0.012 (0.003)	0.013 (0.002)
Observations	1,186,480	1,186,480	1,186,480	1,186,480
Mean D.V. runner-up	0.028	0.050	0.094	0.049
Supporters	361,979	361,979	361,979	361,979
Elections	4,160	4,160	4,160	4,160
Dependent variable is employment as:	Concurso (1)	Discretionary (2)	Municipal (3)	State/federal (4)
<i>Panel B. Contract type</i>				
Mayor	0.033 (0.004)	0.072 (0.003)	0.113 (0.004)	−0.009 (0.002)
Observations	1,447,538	1,447,538	1,447,538	1,447,538
Mean D.V. runner-up	0.157	0.068	0.138	0.086
Supporters	418,146	418,146	418,146	418,146
Elections	5,419	5,419	5,419	5,419

Notes: The table presents the estimated β from equation (1), and the dependent variables are indicators for employment in the occupational category of the public sector indicated in the title of the column. Panel A focuses on the type of occupation. Panel B focuses on the type of contract. The sample is restricted to supporters of the winning party or of the runner-up in a close election, using a 5 percentage point margin of victory to define an election as close. *Mean D.V. runner-up* shows the average of the dependent variable for the supporters of the runner-up in the post-election period. Standard errors are shown in parentheses and are double clustered at the supporter and election level.

Patronage and Elections

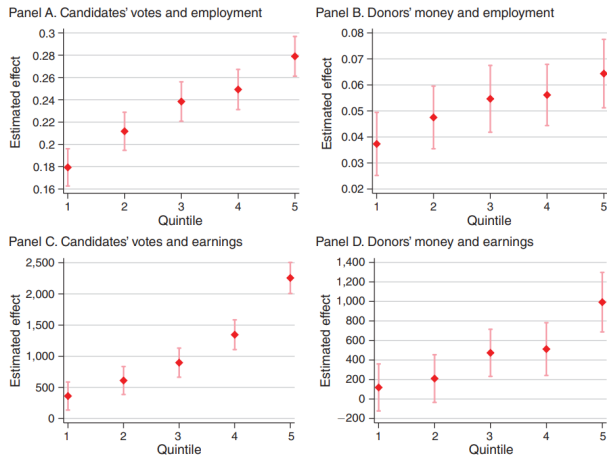


FIGURE 3. PREFERENTIAL TREATMENT IN THE PUBLIC SECTOR IS INCREASING IN AMOUNT OF SUPPORT PROVIDED

Patronage and Elections

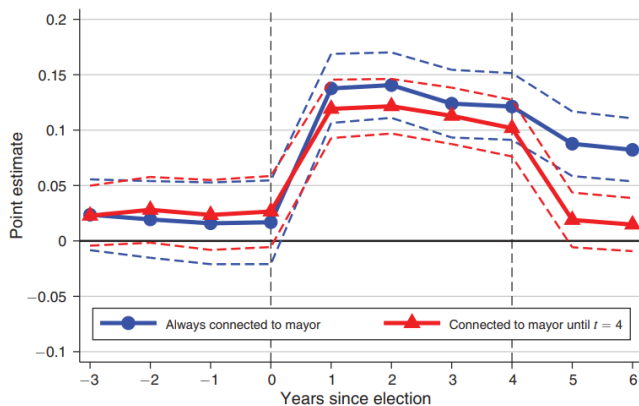
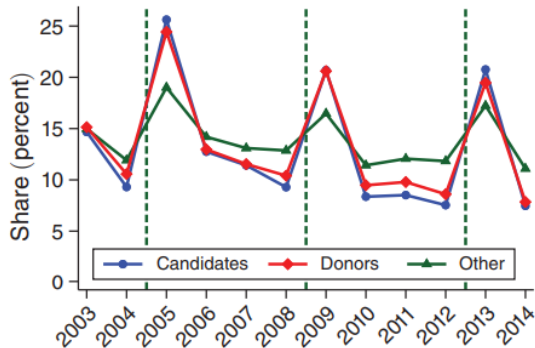


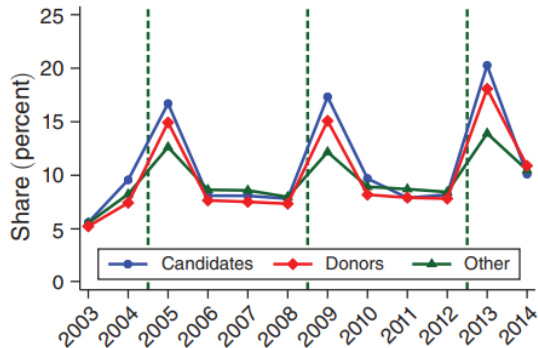
FIGURE 4. SUPPORTERS' PUBLIC SECTOR EMPLOYMENT PROBABILITY
DEPENDS ON THE PARTY FORTUNE IN THE LONG RUN

Patronage and Elections

Panel A. Hiring spikes in election years



Panel B. Separations spike in election years



How Patronage Delivers: Political Appointments, Bureaucratic Accountability, and Service Delivery in Brazil

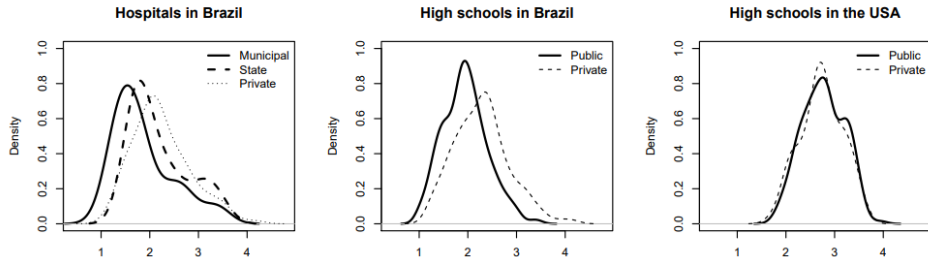
Toral

Principals and Mayors

Abstract: *The political appointment of bureaucrats is typically seen as jeopardizing development by selecting worse types into the bureaucracy or by depressing bureaucratic effort. I argue that political appointments also affect outcomes through a third, less studied channel, namely, by changing how bureaucrats work. Patronage provides connections between bureaucrats and politicians, and thereby grants access to material and nonmaterial resources, enhances monitoring, facilitates the application of sanctions and rewards, aligns priorities and incentives, and increases mutual trust. Political appointments can thus enhance bureaucrats' accountability and effectiveness, not just for rent-seeking purposes but also, in certain conditions, for public service delivery. I test this theory using data on Brazilian municipal governments, leveraging two quasi-experiments, two original surveys of bureaucrats and politicians, and in-depth interviews. The findings highlight the countervailing effects of connections on bureaucratic governance in the developing world.*

Principals and Mayors

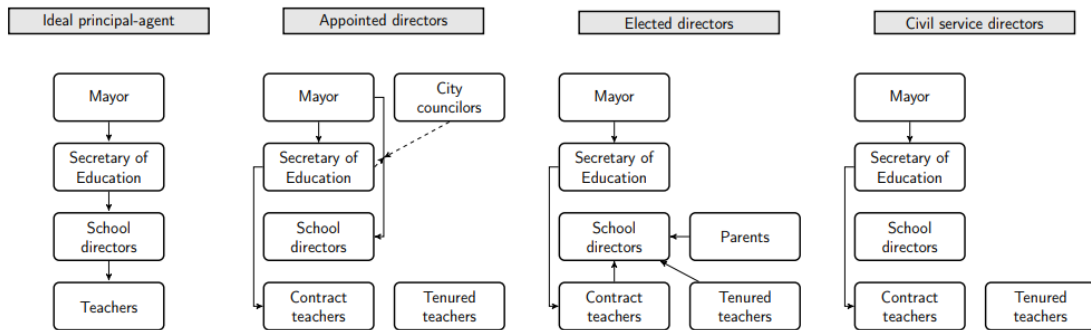
Figure 10: Scores of the World Management Survey for hospitals and high schools in Brazil, and for high schools in the USA



Data correspond to 289 hospitals and 513 high schools that were randomly selected in Brazil, as well as 270 high schools in the USA for comparison. Most public high schools in Brazil are managed by state governments. I only code as municipal or state hospitals those that have those words in their name. Data are from [Bloom et al. \(2014, 2015\)](#).

Principals and Mayors

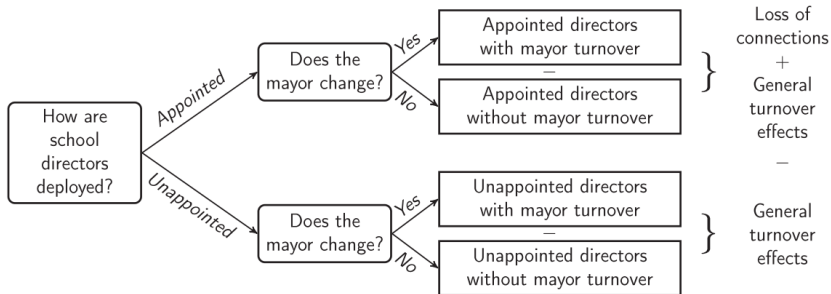
Figure 11: Four models of appointments in Brazil's municipal basic education sector



The dashed lines represent occasional participation of city councilors and secretaries in political appointments.

Principals and Mayors

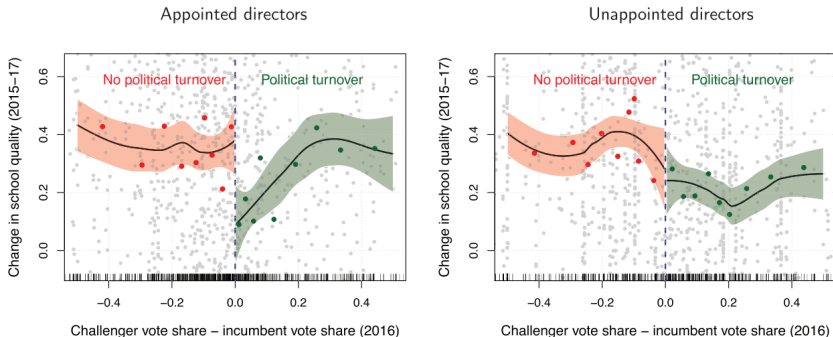
FIGURE 1 Diagram of the Difference-in-Discontinuities Design



Notes: The design exploits three sources of variation in performance: within-bureaucrat changes from before to after the election, between appointed and unappointed bureaucrats, and between localities with and without political turnover.

Principals and Mayors

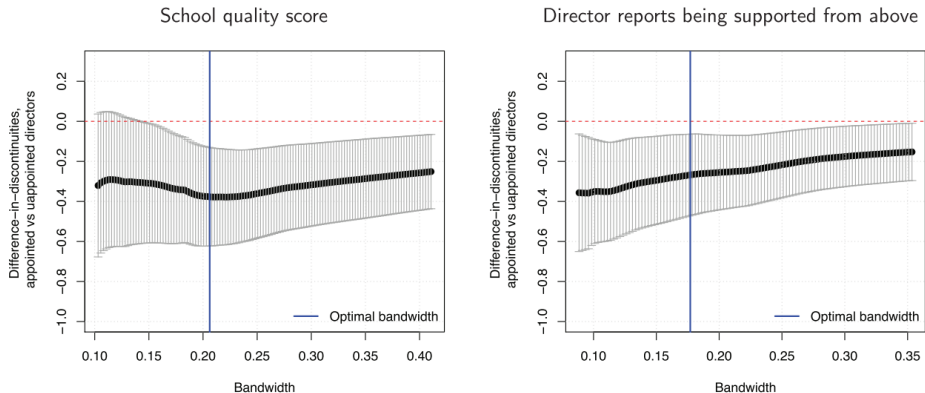
FIGURE 2 Effect of Political Turnover on School Quality, by Director Appointment Mode



Notes: Colored dots are local averages for equally-sized bins. Lines are loess regression lines estimated at both sides of the threshold with no controls. Shaded regions denote 95% confidence intervals.

Principals and Mayors

FIGURE 3 Robustness of the Difference-in-Discontinuity Results to Alternative Bandwidths



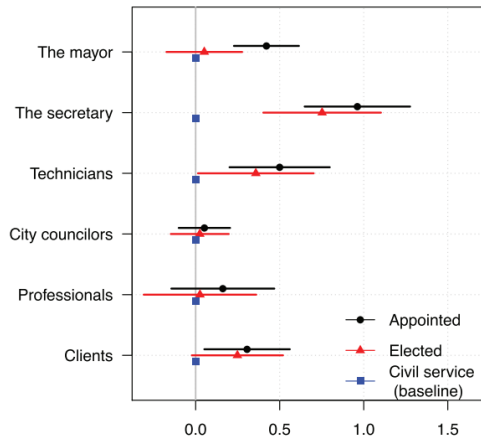
Principals and Mayors

FIGURE 4 Effect of Meeting the Performance Target on Director Turnover, for Schools Whose Director Was Politically Appointed



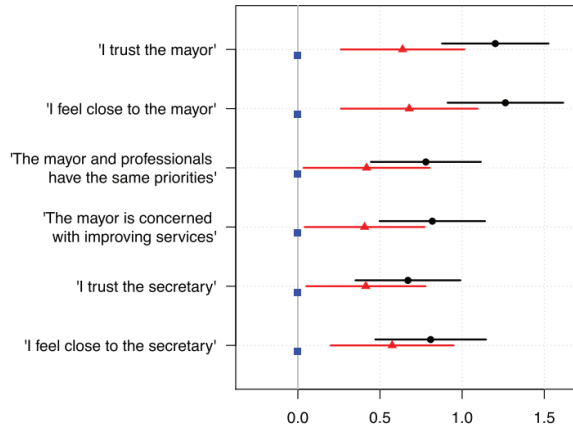
Principals and Mayors

DV: Logged number of meetings with...



Principals and Mayors

DV: Agreement with...



Principals and Mayors

TABLE 1 Mapping of Theory to Empirics

Theoretical Claims	Test	Data	Evidence
Core arguments: Upward embeddedness facilitates			
Bureaucratic effectiveness in service delivery	Diff-in-disc	Administrative data	Figure 2
Bureaucratic accountability	RDD	Administrative data	Figure 4
Mechanisms: Upwardly embedded bureaucrats			
Have higher levels of trust in, alignment with, and access to politicians	Correlations	Bureaucrat survey	Figure 6
Communicate better with and are more responsive to the government	Conjoint	Bureaucrat and politician surveys	Figures 7 and 8
Have more access to material resources	Conjoint	Bureaucrat survey	Figure 7
Exert more effort	Conjoint	Politician survey	Figure 8

Summary

- **Incentives:** Not always monetary, ideology can be important.
- **Selection:** Political discretion can go both ways (contradictory results).

Political Dinasties

Dal Bo, Dal Bo and Snyder (2008) and George (2020)

Political Dynasties

ERNESTO DAL BÓ

University of California, Berkeley and NBER

PEDRO DAL BÓ

Brown University and NBER

and

JASON SNYDER

University of California, Los Angeles

First version received December 2007; final version accepted April 2008 (Eds.)

Political dynasties have long been present in democracies, raising concerns that inequality in the distribution of political power may reflect imperfections in democratic representation. However, the persistence of political elites may simply reflect differences in ability or political vocation across families and not their entrenchment in power. We show that dynastic prevalence in the Congress of the U.S. is high compared to that in other occupations and that political dynasties do not merely reflect permanent differences in family characteristics. On the contrary, using two instrumental variable techniques we find that political power is self-perpetuating: legislators who hold power for longer become more likely to have relatives entering Congress in the future. Thus, in politics, power begets power.

Political dynasties

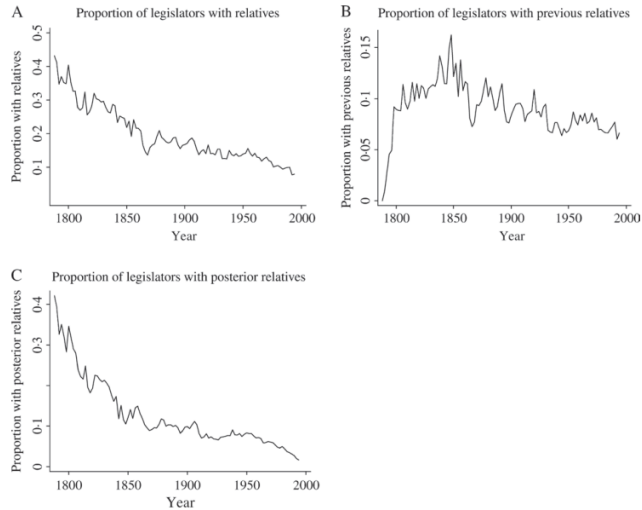
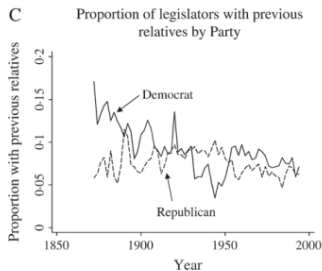
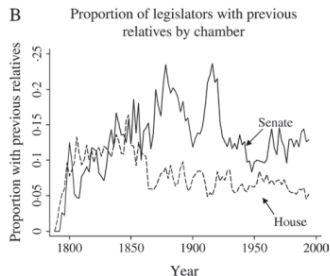
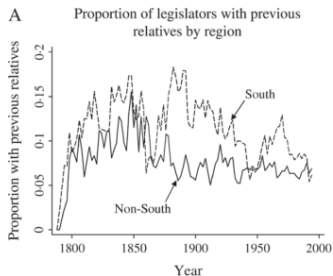
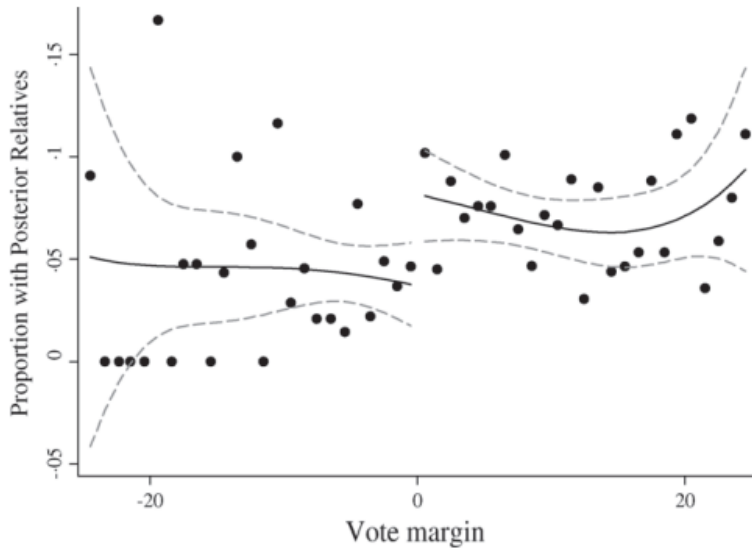


FIGURE 1
Trends in legislators with relatives

Political dynasties



Political dynasties



Political dynasties

TABLE 2
Characteristics of close winners vs. close losers in first reelection attempt

	2.5% Margin of vote window			5% Margin of vote window		
	Win	Lose	Difference	Win	Lose	Difference
Postrelative	0.082	0.036	0.047 [0.021]**	0.078	0.040	0.038 [0.015]***
Year	1885-62	1887-57	-1.947 [2.948]	1884-93	1888-74	-3.806 [2.167]*
Female	0.007	0.008	0.000 [0.008]	0.005	0.004	0.001 [0.004]
Age at entry	44.87	45.62	-0.748 [0.805]	44.85	45.72	-0.869 [0.571]
College attendance	0.607	0.632	-0.026 [0.043]	0.602	0.602	0.000 [0.030]
Outsider to state	0.446	0.419	0.027 [0.044]	0.418	0.432	-0.014 [0.031]
Previous public office	0.787	0.870	-0.083 [0.033]**	0.804	0.825	-0.022 [0.027]
Military	0.300	0.296	0.003 [0.040]	0.316	0.282	0.034 [0.028]
Lawyer	0.659	0.595	0.064 [0.043]	0.614	0.567	0.047 [0.031]
Farmer	0.042	0.065	-0.023 [0.020]	0.062	0.062	0.000 [0.015]
Business	0.184	0.223	-0.039 [0.036]	0.209	0.239	-0.030 [0.026]
Democrat	0.439	0.498	-0.059 [0.044]	0.485	0.486	-0.001 [0.031]
Republican	0.427	0.412	0.015 [0.043]	0.401	0.402	-0.001 [0.030]
Observations	267	253		591	475	

Political dynasties

TABLE 9
Dynastic bias across occupations

Occupation	(1)	(2)	(3)
	% with father in same occupation	% of fathers in each occupation	Dynastic bias
Federal public administration	7.29	1.74	4.20
Carpenter	14.39	2.72	5.29
Electrician	10.18	1.07	9.53
Dentist	2.56	0.19	13.31
Plumber	12.50	0.85	14.65
Lawyer	10.16	0.57	17.83
Doctor	13.91	0.59	23.73
Economist	1.54	0.04	37.26
Legislator	3.55	0.01	354.06

Notes: Column (3) = (1)/(2). The data for non-political occupations come from the General Social Surveys (ICPSR 4295). For legislators, column (1) is calculated from our data based on the *Biographical Directory of Congress* and the methodology for column (2) can be found in our NBER working paper No. 13122 (it provides an upper bound to the prevalence of legislators among fathers, hence a lower bound for dynastic bias among legislators).

Like Father, Like Son?

The Effect of Political Dynasties on Economic Development*

Siddharth Eapen George

January 17, 2020

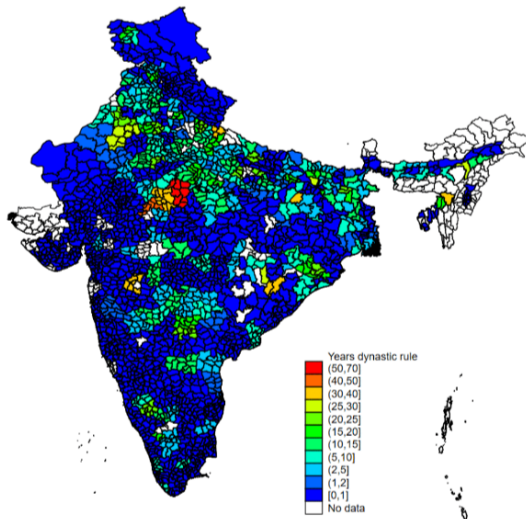
Political dynasties in India

Abstract

This paper studies how dynastic politics affects economic development in India, using variation from three distinct natural experiments. We build a political agency model with overlapping generations to show that dynastic politics has theoretically ambiguous economic effects: bequest motives may lengthen politicians' time horizons (founder effects), but heritable political capital may make elections less effective at holding dynastic heirs accountable (descendant effects). We compile data on the family ties of all Indian legislators since 1947, and present three empirical findings. First, we identify descendant effects using a close elections regression discontinuity design, and find that descendants worsen poverty and public good provision in villages they represent. We develop a method to improve the external validity of our RD estimates, and find that even non-marginal descendants perform poorly in office. Descendants underperform partly due to moral hazard: they inherit voters loyal to their family, which dampens their performance incentives. Second, we estimate founder effects by examining constituency boundary changes. Founders have positive effects on economic development, and this is partly driven by bequest motives: politicians with a son are twice as likely to establish a dynasty and exert more effort while in office. Third, we identify the overall effects of a dynastic political environment using an instrumental variables strategy based on the gender composition of past incumbents' children. Dynastic politics generates a "reversal of fortune" development pattern, where places develop faster in the short run (because of positive founder effects), but are poorer in the long run (because negative descendant effects outweigh positive founder effects).

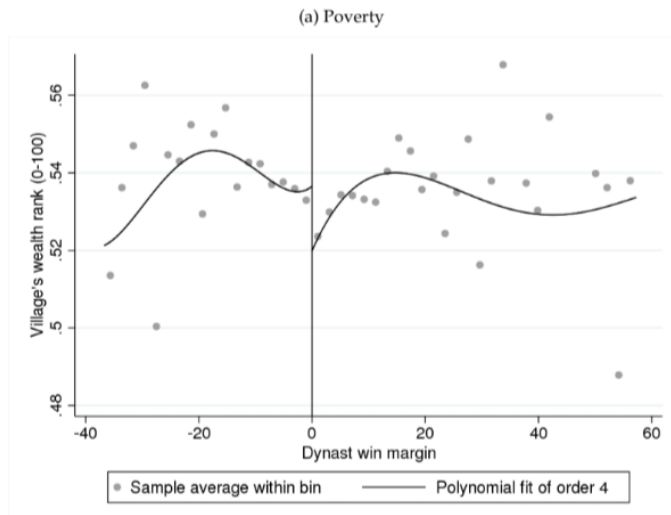
Political dynasties in India

Figure 1: Spatial variation in dynastic rule



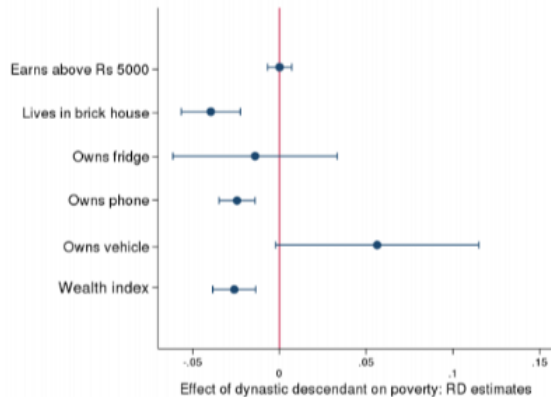
Political dynasties in India

Figure 2: **Descendant effects identified using close elections RD design**

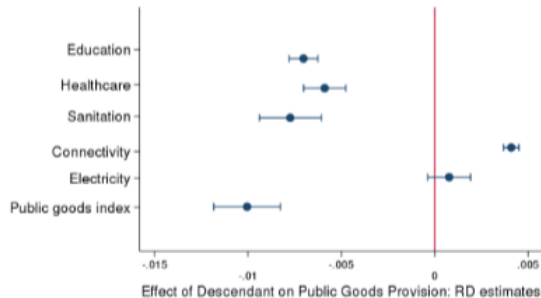


Political dynasties in India

(b) Proxies of poverty



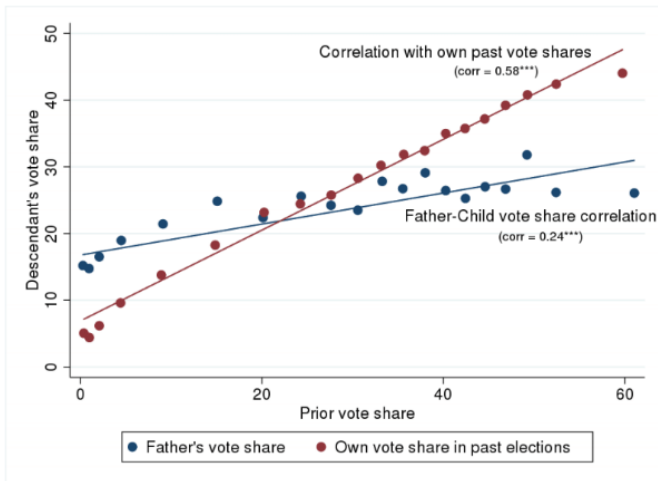
(c) Public goods outcomes



Political dynasties in India

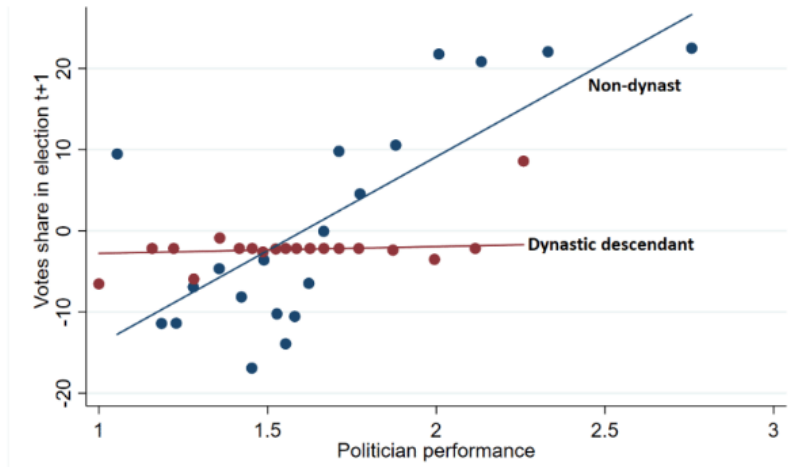
Figure 4: **Descendants inherit votes, reducing performance incentives**

(a) Descendants inherit political capital



Political dynasties in India

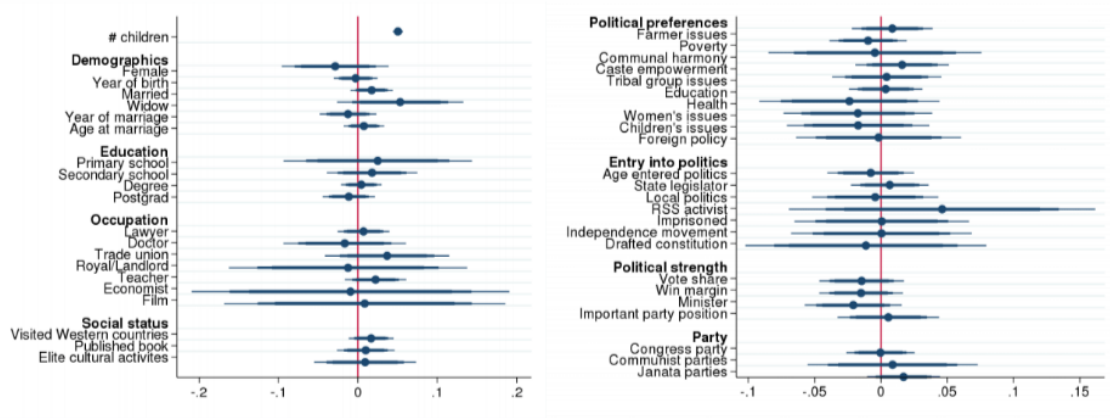
(b) Descendants have lower electoral returns to in-office performance



Political dynasties in India

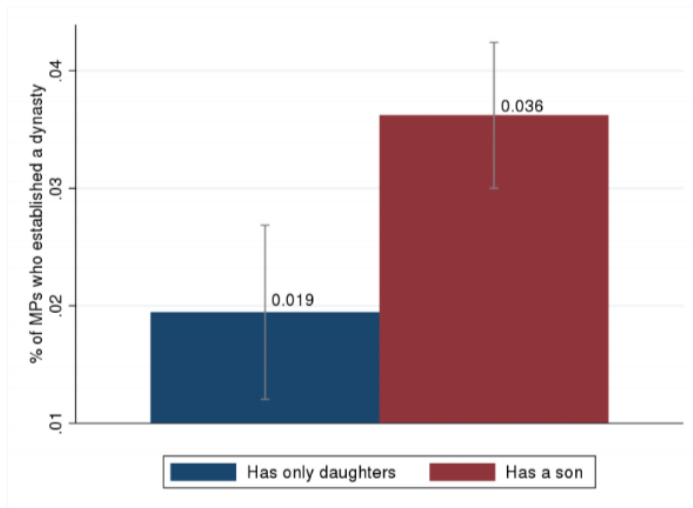
Figure 8: **Gender composition of politicians' children is shock to bequest motive**

(c) Politicians with a son are similar to politicians with only daughters



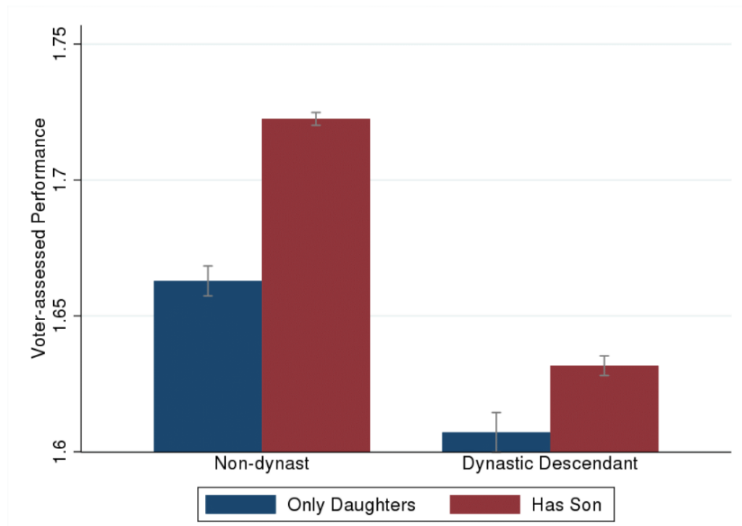
Political dynasties in India

(d) Politicians with a son are twice as likely to found a dynasty



Political dynasties in India

Figure 9: **Bequest motives improve performance of both non-dynasts and descendants**



Next class

- March 8th: Student presentations (sign up today)
- March 15th:
 - Finance and politics.
 - Nationalism.
- March 22th: Presentation of paper proposals.